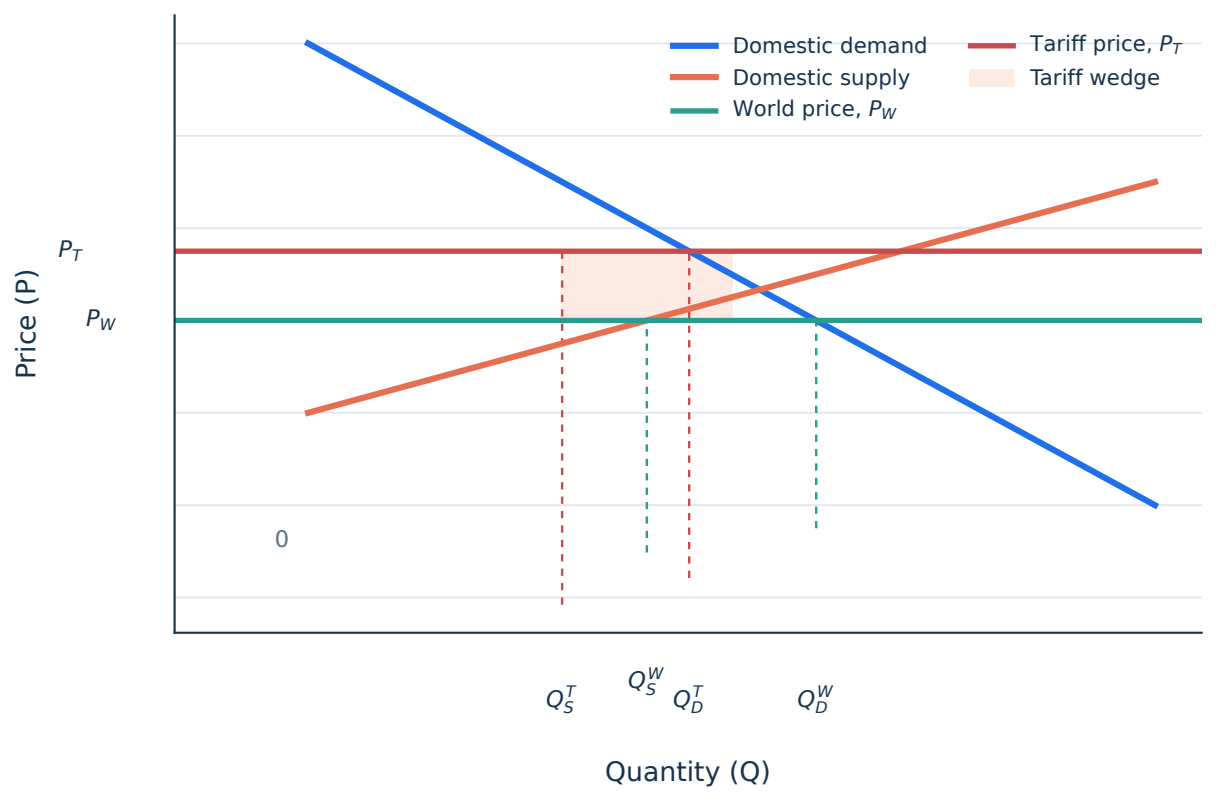
Domestic demand
Domestic supply
World price, P_W
Tariff price, P_T
Tariff wedge
P_T
P_W
Price (P)
0
Q_S^T
Q_S^W
Q_D^T
Q_D^W
Quantity (Q)